

Market Update

Quarter 1, 2025

15th January 2025

Market snapshot: Q1 2025

Global stocks off to a rocky start to 2025

Global bond market sell-off and steep stock losses mark the second week of 2025, but the US economy is still showing strength. Industries that adopt AI and semiconductors are poised for significant growth.

UK: The FTSE All Share is up 9.5% over 2024. Financials led with 24.2%.

US: The S&P 500 rose 27.3% over 2024 in £ terms. Communication Services and Information Technology sectors delivered with 42.7% and 39.1%, respectively.

EU: Stoxx Europe 600 rose 4.4% over 2024 £ terms, again financials led the market.

China: Shanghai Composite rose 14.9% in 2024 in £ terms, up 15.7% over the last 6 months.

Macroeconomic outlook: Central bank stimulus – significant threats of returning inflation

- Early signs in 2025 are that rate cuts are on hold in the US, with stronger than anticipated payroll data pushing market expectations to the second half of the year.
- In Q4 2024, the Fed and the ECB each cut rates by 25bps twice – 0.50% cut for the quarter and 1.00% in 2024; the Bank of England cut rates by 0.25% in November, for 0.50% over the year.
- Consumer inflation expectations in the US have jumped to their highest since 2008, whilst China is battling deflationary pressures.
- The Biden administration is busy making its mark in its last weeks, with particular focus on China and Russia. Drops in Tencent's price after it was added to the list of Chinese military companies eroded much of the gains in the Hang Sen index and FTSE China 50, as Tencent is around 9% of these indices. A new three-tier approach to chip access penalizes China (tier 3), though it may result in a strengthening in the country's resolve in developing its own tech. The US imposed its most aggressive sanctions on Russia's oil industry yet in an attempt to bolster Ukraine's bargaining power if forced into peace talks when Trump takes office, shortly before the third anniversary of Russia's invasion.
- China's stimulus has not translated into a rebound of the economy, and demand stimulus is needed to support China's supply-side commitments to expand productive forces. Fiscal updates by the National People's Congress (NPC) in March will be key to China's growth outlook.

UK markets – Reeves still in the spotlight

Chancellor Rachel Reeves is under scrutiny as bond markets tank, 30-year gilts hit 25-year highs, and the pound loses value against the dollar. Some compare this to the 1976 IMF bailout with mandatory austerity measures. This is bad news for the Labour government and market confidence, with the economy cooling and yields eroding fiscal headroom. Despite Reeves' Budget assurances, rebuilding headroom will need tax hikes or spending cuts.

The UK market appears to be a strong value proposition and US growth is likely to drive growth in the UK as well. The FCA's role, and all institutions, will be key in improving investor confidence.

Outlook – a pause in recovery and certain uncertainty

- The great election year has ended, but the EU is still in political flux, with multi-party coalitions falling over and support for nationalistic parties appearing to increase.
- Inflation risks remain, central banks continue a wait-and-see policy. Global energy supplies could be constrained by wildfires in California and sanctions on Russia, as well as the ongoing and escalated conflict in the Middle East.
- The only certainty about Trump's second term is that there will be uncertainty. An increase in tariffs seems inevitable, and whilst we cannot predict the impact, economic isolation in the US will have far-reaching consequences globally – rising costs, and re-evaluation of traditional trading relationships are probable.

Market assumption approach

Approach

The principle is to consider typical eight-year returns based on where we are in the economic cycle.

A classical view of the economic cycle is that the economy moves through four stages, **growth**; **economic overheat**, requiring intervention from central banks to temper inflation; **contraction** requiring economic stimulus to get the economy back on its feet; and then **recovery** as stimulus is scaled back. In real-life the economy can move backwards or skip a stage compared to this simplified representation.

Market returns can also be impacted by events that fall outside of this cyclical macro-economic behaviour. Covid19 was one such example which led to the global economy cycling very quickly through contraction and back into overheat.

Whilst stock market crashes are possible at all stages of the economic cycle, they are more likely to be deeper and felt wider across the economy when the cycle moves from overheat into contraction.

Position in the economic cycle

The US economy marches steadily onwards, with continued strength in labour markets. Whilst this means inflation fears remain and patience is needed in cutting rates, it is good news for growth. The Trump administration's trade policies may reduce the positive impact on global growth that markets have become used to, which increases uncertainty about the cycle. A downward sloping yield curve is a leading indicator for recession and has been downward sloping from July 2022 until December 2024 when it flipped to positive.

Based on the current conditions in markets and the global economy, largely driven by the US, we have weighted our analysis as 25% contraction and 75% recovery.

Estimating returns

The return for cash is the SONIA overnight rate for cash expressed as an annualised return.

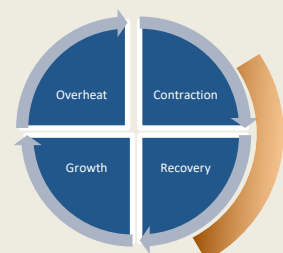
For assets in the Fixed Income asset classes, we used the latest eight-year yield to maturity as the annualised return for each of the sub-asset classes. This is to avoid any arbitrage opportunities within the market return estimates.

For Equities and remaining asset classes, our market data from 1971 is partitioned into four economic stages - Growth, Overheat, Contraction and Recovery. Then we have calculated annualised risk and return for each index over rolling two-year and eight-year periods. The analysis is done net of UK inflation. We have then added back in current expectations of eight-year UK inflation to give a return expectation based on current inflation expectations and a probabilistic weighting of where we are in the economic cycle.

Manual adjustments to reflect efficient market pricing

Some risky asset classes do not fit on a neat risk return spectrum, such as the FTSE All-Share AIM historical risk, and Emerging Market historical returns. For example, FTSE AIM exhibits moderate volatility and very poor historical downside events. Conversely, Emerging Markets has high volatility but low historical returns. For parity we adjusted FTSE AIM risk upwards in line with observed downside performance. The Emerging Market equity returns were adjusted upwards to be in line with a capital asset pricing model (CAPM), in essence this means that an investor would expect to be compensated with more return for taking on more risk in Emerging Market equities.

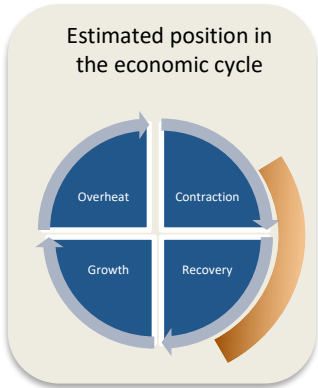
Estimated position in the economic cycle



Asset class assumptions

Notes on returns and risks given in the table below

Calculation date : 2nd January 2025
Assumptions : Nominal returns and risks
Risk horizon : 2 years
Return horizon : 8 years
Yield : Prevailing market rates as at calculation date
Inflation basis : UK market rates from the Bank of England at calculation date
Cycle basis : 25% **Contraction**; 75% **Recovery**



Asset Class	Q1 2025 Assumptions			Q4 2024 Assumptions			Difference in %		
	Return	Risk	Yield	Return	Risk	Yield	Return	Risk	Yield
<u>Cash and Cash Equivalents</u>									
Cash	4.00%	1.63%	4.00%	3.56%	1.63%	3.56%	0.44%	0.00%	0.44%
<u>Fixed Income</u>									
Sovereign Debt 3-5	4.42%	3.98%	4.42%	3.79%	3.98%	3.79%	0.63%	0.00%	0.63%
Corp Bonds 3-5	4.98%	3.41%	4.98%	4.45%	3.41%	4.45%	0.53%	0.00%	0.53%
Global Aggregate	3.68%	3.39%	3.68%	3.33%	3.39%	3.33%	0.35%	0.00%	0.35%
Global Sovereign	3.39%	3.37%	3.39%	2.93%	3.37%	2.93%	0.46%	0.00%	0.46%
Global Corp	4.91%	3.11%	4.91%	4.23%	3.11%	4.23%	0.68%	0.00%	0.68%
High Yield	8.51%	5.81%	8.51%	8.41%	5.81%	8.41%	0.10%	0.00%	0.10%
<u>Equities</u>									
UK Equities	9.72%	15.80%	3.56%	9.64%	15.80%	3.60%	0.08%	0.00%	-0.04%
World Equities	11.63%	15.46%	1.79%	11.55%	15.46%	1.78%	0.08%	0.00%	0.01%
World Developed	11.12%	16.21%	1.75%	11.03%	16.21%	1.75%	0.09%	0.00%	0.00%
Emerging Equities	14.14%	16.66%	2.81%	14.00%	16.66%	2.62%	0.14%	0.00%	0.19%
FTSE 250	10.80%	17.56%	3.33%	10.71%	17.56%	3.29%	0.09%	0.00%	0.04%
FTSE AIM	14.16%	23.01%	2.14%	17.40%	28.53%	2.04%	-3.24%	-5.52%	0.10%
FTSE Small Cap	12.12%	19.70%	4.11%	12.01%	19.70%	4.18%	0.11%	0.00%	-0.07%
<u>Alternative Assets</u>									
Property	8.52%	19.27%	5.43%	8.43%	19.27%	4.70%	0.09%	0.00%	0.73%
Alternatives HFRX	5.03%	6.04%	0.00%	4.94%	6.04%	0.00%	0.09%	0.00%	0.00%
<u>Commodity</u>									
Resources	3.96%	19.78%	0.00%	3.87%	19.78%	0.00%	0.09%	0.00%	0.00%
Gold	1.48%	16.48%	0.00%	1.39%	16.48%	0.00%	0.09%	0.00%	0.00%

Further information

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